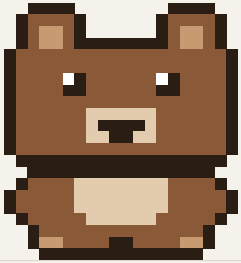
ROMA TRE · A.Y. 2026/27

# Policy Evaluation Lab

*Special session: Where does evidence enter the budget? The spending cycle in the EU and Italy*



Dr. Matteo Caruso · mcaruso4@os.uniroma3.it
Roma Tre University – Department of Business Economics
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# Where we are, and why today is different

- So far we asked one question: **did the grant work?** Potential outcomes (Lectures 1–2), regression (Lecture 3), experiments (Lectures 4–5)
- Today we ask the question that comes next: **who uses the answer, and when?**
- A one-off session: it does not advance the syllabus and it is not part of the exam programme

Today:

1. the budget as a **policy cycle**: where evaluation can enter
2. the **EU** rules that now frame every Italian budget
3. the **Italian** calendar and its evaluation tools
4. why evidence so rarely reaches budget decisions, and a group exercise

# A puzzle

Italy has run spending reviews since **2012**. From 2018 they are built into the budget law: each ministry gets a savings target and must say how it will meet it

**THE STATE GENERAL ACCOUNTING OFFICE (RGS) LOOKED BACK AT HEALTH AND JUSTICE, 2018–2020**

- The savings targets were met in almost every case
- But the review was done **“at the margin”**: it failed its main goal, discussing **existing** spending
- The ministries showed little capacity to review their own policies

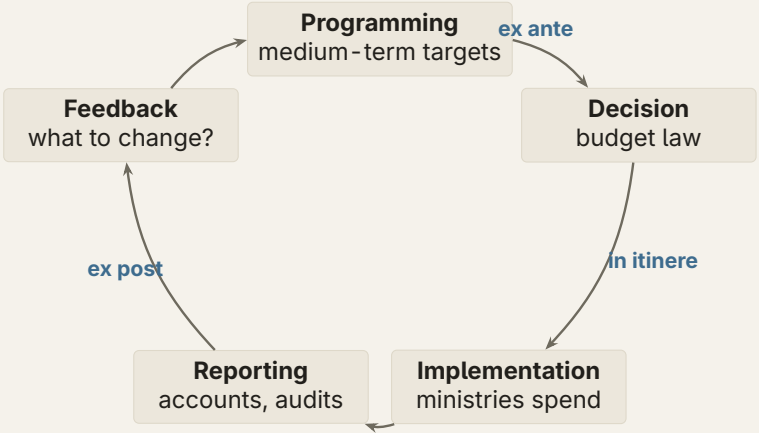
**Targets met, nothing reviewed. How is that possible?**

PART 1

# The budget as a policy cycle



# The budget cycle is a policy cycle



# Three moments of evaluation

| Moment | Question | Typical tools |
|---|---|---|
| Ex ante | What will it cost, what could it achieve? | appraisal, cost-benefit analysis, impact assessment of new rules, simulation models |
| In itinere | Is it being delivered as planned? | monitoring, output indicators, milestones and targets |
| Ex post | **Did it work?** Compared with what? | counterfactual evaluation: experiments, matching, DiD, IV, RDD, synthetic control |

Our course lives in the last row. Only the last row answers the question with a **counterfactual**: what would have happened without the programme (Lecture 1)

PART 2

# The EU layer

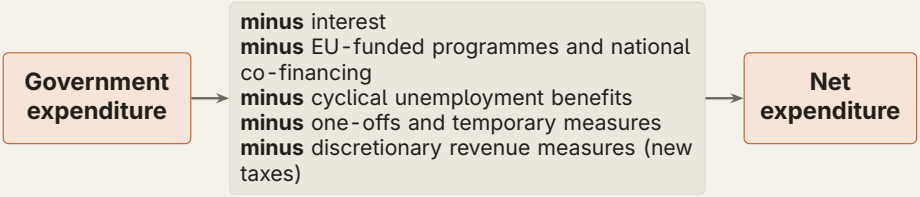


# What changed in 2024

| | Before | Since 2024 |
|---|---|---|
| What is targeted | several indicators (structural balance, expenditure benchmark, debt-reduction rule) | **one**: the growth of **net expenditure** |
| Time horizon | an annual stability programme | a **4- or 5-year** national plan, plus an annual progress report |
| How tight | the same rules for every country | a **country-specific** path, from a debt sustainability analysis |
| Room for reforms | limited | the adjustment can last **4 years, or up to 7** with reforms and investments |

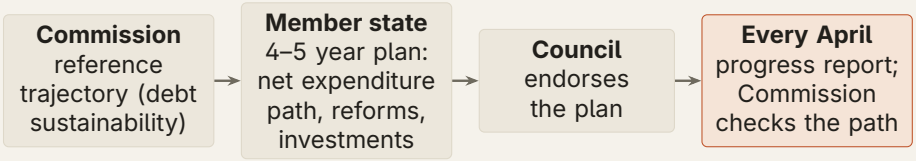
In force since **30 April 2024**: one regulation for prevention, one for the excessive deficit procedure, one directive on national budget frameworks

# One number to watch: net expenditure



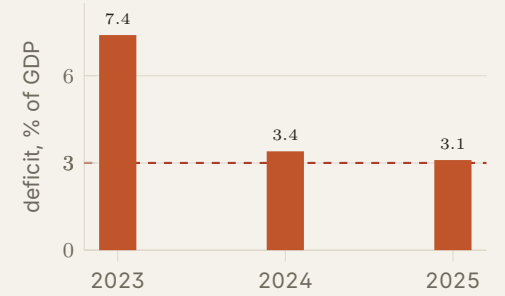

- It is what the government **controls**: not the interest bill, not the business cycle
- The plan sets a **ceiling on its growth**, year by year
- A new programme must be paid for by **cutting another one** or by **raising taxes**: spending has to compete with spending

# How a national plan works




- **Adjustment**: 4 years, extendable **up to 7** if the country commits to reforms and investments
- **Safeguards**: debt must keep falling (by at least 1 point of GDP a year while above 90%); deficits must build a margin below 3%
- **Escape clauses**: a general one for a severe EU-wide downturn; a **national** one for exceptional events outside the government's control, with a time limit set by the Council

# Italy: a live case




2023 as known when the procedure was opened (since revised to 7.1). Sources: Council, ISTAT.

- **July 2024**: excessive deficit procedure opened
- **Plan 2025–2029**: 7-year adjustment, endorsed by the Council in January 2025
- **2025**: deficit at 3.1% of GDP, just above the line
- **June 2026**: procedure “held in abeyance”: effective action, but not yet closed
- **Exit**: possible in **2027** at the earliest, on 2026 data

# What the EU layer means for evaluation

- A **multi-year ceiling** on net expenditure turns the budget into a reallocation problem: more for one programme means less for another, or new taxes
- The extension to 7 years is bought with **reforms and investments**: someone has to show they are delivered (in itinere) and that they work (ex post)
- Since 2025 the directive requires an **independent fiscal institution** in every member state: a natural user of evaluations

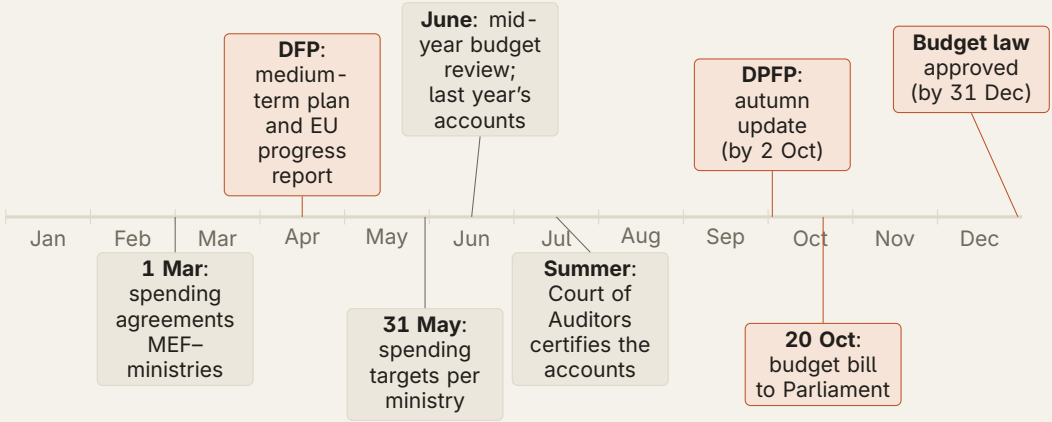
> The rules say **how much** can be spent. They say nothing about **what works**: that is our job

PART 3

# The Italian layer



# The Italian budget calendar

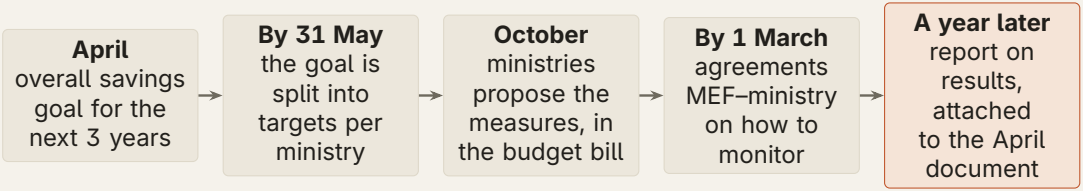


# Where evaluation sits inside the Italian cycle

| Tool | Moment | What it does |
|---|---|---|
| Spending review in the budget law | decision, feedback | savings targets per ministry, agreed measures, yearly report on results |
| Performance information | programming, reporting | each ministry lists objectives and **indicators** for its programmes, and reports how far they were reached |
| Regulatory impact assessment | ex ante, ex post | analysis of new rules before adoption (AIR) and check of their effects afterwards (VIR) |
| Parliamentary Budget Office (UPB) | programming | independent: validates the government's forecasts, checks the fiscal rules |
| Court of Auditors | reporting | certifies the accounts; audits how programmes are managed |

What is missing from the last column: **did the programme work, compared with what?**

# The spending review, step by step




THE 2023–2025 ROUND

Savings asked of the ministries: **0.8 billion euro in 2023, 1.2 billion in 2024, 1.5 billion in 2025**. Targets are set in **euros saved**, not in results achieved

# The PNRR pushed the spending review further

- **Reform 1.13** of Italy's recovery plan: "strengthen the analysis and evaluation of spending **inside** the budget cycle"
- What it delivered: a scientific committee and a unit at the Ministry of Economy, savings targets for 2023–2025, an assessment of past reviews (our puzzle), guidelines for ministries, annual reports
- The same reform is one of the commitments that earned Italy a **7-year** adjustment under the new EU rules
- But the Council noted that no specific targets for future spending reviews had been set

> Reform 1.13 built the **procedure**. It did not, by itself, put counterfactual evidence into it

PART 4

# Why evidence rarely reaches the budget



# Linear cuts versus evidence-based reallocation

### LINEAR CUTS

- the same percentage off every programme
- fast, easy to negotiate, easy to verify
- treats the programme that works like the one that does not
- savings often come back later as arrears or “unexpected” needs

### EVIDENCE-BASED REALLOCATION

- cut what does not work, fund what does
- needs a **counterfactual** for each programme
- slow: results arrive years after the money is spent
- creates losers who can be named, so it is politically costly

# Outputs are not outcomes

| Input | Output | Outcome (needs a counterfactual) |
|---|---|---|
| euros for nursery places | places created | did mothers' employment rise **because of** them? |
| euros for investment grants | firms funded, projects completed | did funded firms invest more **than they would have anyway**? |
| euros for training | courses delivered, participants | did participants find jobs **because of** the course? |

A real case: the PNRR nursery investment is measured by a target of at least **150,480 new places**, an **output**. Whether they raise mothers' employment is an **outcome** that no milestone measures

# Why counterfactual evaluation rarely reaches budget decisions

- **Timing**: the budget is decided every autumn; a credible ex post evaluation needs data that arrive two or three years later
- **Design**: most programmes are not designed to be evaluated. No lottery, no clear eligibility threshold, no data on non-recipients
- **Data**: administrative data exist, but are spread across agencies and hard to link
- **Power**: many evaluations are too small. “No significant effect” is then read as “no effect” and the programme is cut, or as “inconclusive” and it is kept (Lecture 5)
- **Incentives**: a ministry gains little from showing that its own programme does not work

# Back to the puzzle

- The targets were **euros**, not results: the easiest euros to find are at the margin, in programmes nobody defends
- Existing spending was never put against a **counterfactual**: nobody asked what each programme achieves compared with not having it
- Ministries lacked the **capacity** (people, data, evaluation plans) to do more than accounting cuts
- And the calendar left no time: targets in May, measures in October, results a year later

> A spending review without evaluation is just a **cut**. Evaluation is what turns a cut into a **choice**

# How others do it: the Netherlands

- **Interdepartmental policy reviews** (IBO): independent studies of a policy problem with a budgetary challenge, run by officials from several ministries with an independent chair
- Every review must work out at least one **savings option of 10 to 20%**: "comply or explain"
- Since 2022, each ministry keeps a **multi-year evaluation agenda** covering ex ante, in itinere and ex post evaluations

> **THE LESSON**
>
> The savings option forces the question we never asked in Italy: **what would we lose** if this programme were 20% smaller?

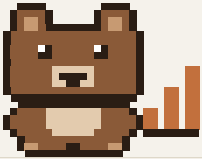
# How others do it: the United Kingdom

| Tool | Moment | What it is |
|---|---|---|
| Spending Review | decision | multi-year budgets for every department; the 2025 review set day-to-day budgets to 2028–29 |
| Green Book | ex ante | how to appraise options: costs, benefits and risks, before deciding |
| Magenta Book | ex post | how to evaluate: from monitoring to counterfactual impact evaluation |

The Magenta Book states that evaluation exists to inform **future spending decisions**: the loop of our cycle diagram, written into official guidance

PART 5

# Group exercise



# Group exercise (20 minutes)

1. Groups of 3–4. Each group picks one programme from the next slide
2. Fill in the five boxes of the template: **outcome, counterfactual, data, identification, budget hook**
3. Use the methods of the course: what we have seen (regression, experiments) and what is coming (matching, DiD, IV, RDD, synthetic control)
4. Two minutes per group to report back

**THE QUESTION TO ANSWER**

If this programme came up in next year's spending review, what evidence would you want, and **when** would it have to be ready?

# Five real Italian programmes

- **Law 488/1992**: capital grants for productive investment in lagging areas, mainly the South, allocated by **ranking** applicants
- **SME Guarantee Fund**: a public guarantee on bank loans to small and medium-sized firms
- **Transizione 4.0**: tax credits for firms buying new capital goods, introduced in 2020 and later narrowed
- **Single universal child allowance** (assegno unico): a monthly benefit per dependent child, scaled by family means, since March 2022
- **PNRR nurseries**: new childcare places, with a target of at least 150,480 places

> **HINTS**
>
> Is there a **ranking or threshold**? A **start date** that differs across places or firms? Applicants who were **rejected**? A group that could **never** receive it?

# The template

| | |
|---|---|
| **Outcome** | What should change if the programme works? Measured how, after how long? |
| **Counterfactual** | Who are the comparison units, and why would they have behaved like the treated without the programme? |
| **Data** | Which administrative or survey data? Do we observe the **non**-recipients too? |
| **Identification** | Which method from the course, and its key assumption (random assignment, parallel trends, no manipulation at the threshold…) |
| **Budget hook** | Which document, which month: April plan, May targets, October budget bill? What decision would the result change? |

Bonus: is the sample large enough? A rough **MDE** (Lecture 5) tells you whether a "no effect" would mean anything

# A worked example: Law 488/1992

| | |
|---|---|
| **Outcome** | investment by the firm, then sales and employment, 2–4 years after the grant |
| **Counterfactual** | applicants that were ranked but **not funded**: they wanted to invest too, unlike non-applicants (Alfa and Beta, Lecture 2) |
| **Data** | the agency's application files linked to firms' balance sheets |
| **Identification** | DiD, funded vs rejected applicants (Bronzini and de Blasio, 2006; week 5), or RDD around the funding cut-off of each ranking (Cerqua and Pellegrini, 2014; week 8) |
| **Budget hook** | before the programme is refinanced: results ready for the April plan, so they can shape the next budget bill |

What the studies found: subsidised firms invested more while funded, but part of it was investment brought forward from later years. That is the kind of result a spending review needs

PART 6

# Wrap-up

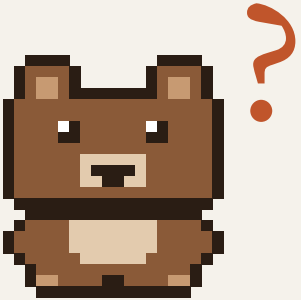


# Three take-aways

1. The budget is a **policy cycle**: evidence can enter ex ante, in itinere and ex post, but only ex post evaluation with a counterfactual says whether a programme **worked**
2. The EU rules now cap **net expenditure** over several years: within a ceiling, every euro has to compete with every other euro, and that is exactly when evidence matters
3. Italy has the **tools** (spending review in the budget law, performance indicators, independent fiscal institutions), but the loop from evaluation to budget is rarely closed. The cheapest fix is **design**: decide how a programme will be evaluated before the money is spent

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- Bronzini, R. and G. de Blasio (2006), Evaluating the impact of investment incentives: the case of Italy's Law 488/1992, *Journal of Urban Economics*, 60(2); Cerqua, A. and G. Pellegrini (2014), Do subsidies to private capital boost firms' growth?, *Journal of Public Economics*, 109



# Questions?

mcaruso4@os.uniroma3.it · https://pel.carusomatteo.it